Table 13.1

Asset Class	*Typical Time between Transactions*	*Annualized Turnover*
Public Equities	Within seconds	Well over 100%
OTC (Pinksheet) Equities	Within a day, but many stocks over a week	Approx 35%
Corporate Bonds	Within a day	25–35%
Municipal Bonds	Approx 6 months, with 5% of muni bonds trading more infrequently than once per decade	Less than 10%
Private Equity	Funds last for 10 years; the median investment duration is 4 years; secondary trade before exit is relatively unusual	Less than 10%
Residential Housing	4–5 years, but ranges from months to decades	Approx 5%
Institutional Real Estate	8–11 years	Approx 7%
Institutional Infrastructure	50–60 years for initial commitment, some as long as 99 years	Negligible
Art	40–70 years	Less than 15%

Most Asset Classes Are Illiquid

Except for "plain-vanilla" public equities and fixed income, most asset markets are characterized by long periods, sometimes decades, between trades, and they have very low turnover. Even among stocks and bonds, some subasset classes are highly illiquid. Equities trading in pink-sheet over-the-counter markets may go for a week or more without trading. The average municipal bond trades only twice per year, and the entire muni-bond market has an annual turnover of less than 10% (see also chapter 11). In real estate markets, the typical holding period is four to five years for single-family homes and eight to eleven years for institutional properties. Holding periods for institutional infrastructure can be fifty years or longer, and works of art sell every forty to seventy years, on average. Thus most asset markets are illiquid in the sense that they trade infrequently and turnover is low.

Illiquid Asset Markets Are Large

The illiquid asset classes are large and rival the public equity market in size. In 2012, the market capitalization of the NYSE and NASDAQ was approximately